NOTE 9 – Taxable Net Loss

A reconciliation of the financial statement net loss to the taxable net loss for the Partnership and its consolidated subsidiaries is as follows:

	Years Ended December 31,		
	2008	2007	2006
Financial statement Net loss	$ (4,953,749)	$ (5,841,070)	$ (701,571)
Difference resulting from parent company having a different fiscal year for income tax and financial reporting purposes	(134,813)	(251,103)	117,657
Difference between depreciation and amortization expense recorded for financial reporting purposes and the accelerated cost recovery system utilized for income tax purposes	(307,766)	(4,071,448)	(2,232,945)
Difference between gain/loss on sale of properties reported for financial reporting purposes and income tax purposes	5,544,561	(1,416,803)	(11,702,920)
Losses allocated to minority interest for income tax purposes	0	6,104,078	489,946
Non-deductible loss on impairment of property	0	3,540,000	6,075,000
Difference resulting from forgiveness of related-party debt considered a General Partner contribution for financial purposes and income for tax purposes	750,312	12,325,256	0
Tax exempt interest earned	251,578	75,487	0
Other	360,532	518,171	(338,745)
Taxable net income (loss) as shown on the income tax return for the calendar year ended	$ 1,510,655	$ 10,982,568	$ (8,293,578)

e) Tax Credits

A portion of the Housing Tax Credits are subject still to recapture in future years if (i) a Local Partnership ceases to meet qualification requirements, or (ii) there is a decrease in the qualified basis of the Local Partnership's Property, or (iii) there is a reduction in the Local Partnership interest in the Property at any time during the 15-year Compliance Period that began with the first tax year of the Tax Credit Period. The Partnership has met its primary objective of generating Tax Credits for qualified BACs holders. As of March 31, 2008, the Tax Credit Periods and Compliance Periods for all of the Properties have expired.